

IN THE SENATE

SENATE BILL NO. 1362

BY FINANCE COMMITTEE

AN ACT

RELATING TO THE APPROPRIATION TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM; APPROPRIATING MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF TEACHERS FOR FISCAL YEAR 2027; APPROPRIATING MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2027; APPROPRIATING MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S IDAHO DIGITAL LEARNING ACADEMY FOR FISCAL YEAR 2027; APPROPRIATING MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF FACILITIES FOR FISCAL YEAR 2027; APPROPRIATING MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF CENTRAL SERVICES FOR FISCAL YEAR 2027; APPROPRIATING MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF EDUCATIONAL SERVICES FOR THE DEAF AND THE BLIND FOR FISCAL YEAR 2027; CLARIFYING THE ORIGINAL FUND SOURCE FOR EXPENDITURES IN THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM FOR FISCAL YEAR 2027; DIRECTING THE USE OF MONEYS FOR PROFESSIONAL DEVELOPMENT FOR THE DIVISION OF TEACHERS; PROVIDING FOR A DISTRIBUTION OF ADDITIONAL COMPENSATION FOR INSTRUCTIONAL AND PUPIL SERVICE STAFF; PROVIDING AN ESTIMATE OF DISCRETIONARY FUNDS PER SUPPORT UNIT; PROVIDING AN ESTIMATE OF HEALTH BENEFIT AND INSURANCE FUNDS PER SUPPORT UNIT; DIRECTING THE USE OF AN APPROPRIATION FOR CLASSROOM TECHNOLOGY, WIRELESS INFRASTRUCTURE, AND LEARNING MANAGEMENT SYSTEMS; EXEMPTING THE APPROPRIATION FROM PROGRAM TRANSFER LIMITATIONS; DIRECTING THE USE OF CIGARETTE, TOBACCO, AND LOTTERY INCOME TAX MONEYS; DIRECTING THE USE OF MONEYS FOR COURSEWORK; DIRECTING COMPLIANCE WITH OPEN ENROLLMENT; DIRECTING THE USE OF MONEYS FOR ENGLISH LANGUAGE LEARNERS PROGRAMS; DIRECTING THE STATE DEPARTMENT OF EDUCATION TO COMPILE INFORMATION ON ADVANCED OPPORTUNITIES; PROVIDING A TRANSFER TO THE COMMISSION ON HISPANIC AFFAIRS; PROVIDING A TRANSFER TO THE IDAHO STATE POLICE; DIRECTING A DISTRIBUTION TO PURCHASE DIGITAL CONTENT AND CURRICULA; PROVIDING REQUIREMENTS REGARDING THE IDAHO DIGITAL LEARNING ACADEMY; DIRECTING THE USE OF MONEYS FOR LITERACY PROGRAMS, INTERVENTION SERVICES, MATH INITIATIVE PROGRAMS, AND LIMITED-ENGLISH PROFICIENCY PROGRAMS; DIRECTING THE USE OF MONEYS FOR STUDENT ASSESSMENTS; DIRECTING THE USE OF MONEYS FOR PROFESSIONAL DEVELOPMENT FOR THE CENTRAL SERVICES DIVISION; PROVIDING REQUIREMENTS FOR CONTENT AND CURRICULUM; PROVIDING REQUIREMENTS FOR TECHNOLOGY CONTENT AND CURRICULUM; PROVIDING FOR STATEWIDE TRAINING FOR EARLY LITERACY; PROVIDING GUIDANCE ON YEAR-END RECONCILIATION; DEFINING "DISTRIBUTED" AND "EXPENDED"; REQUIRING AN ACQUISITIONS REPORT; APPROPRIATING GENERAL FUND MONEYS FOR TRANSFER TO THE PUBLIC SCHOOL INCOME FUND FOR FISCAL YEAR 2027; PROVIDING FOR CONDITIONS, LIMITATIONS, AND RESTRICTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. There is hereby appropriated to the Public Schools Educational Support Program's Division of Teachers the following amounts to be expended from the listed funds for the period July 1, 2026, through June 30, 2027:

FROM:

Public School Income Fund	\$1,344,188,100
Federal Grant Fund	<u>11,000,000</u>
TOTAL	\$1,355,188,100

SECTION 2. There is hereby appropriated to the Public Schools Educational Support Program's Division of Student Support the following amounts to be expended to the designated programs from the listed funds for the period July 1, 2026, through June 30, 2027:

TOTAL

I. ADMINISTRATORS DIVISION:

FROM:

Public School Income Fund	\$126,042,900
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II. OPERATIONS DIVISION:

FROM:

Public School Income Fund	\$1,200,372,600
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III. CHILDREN'S PROGRAMS DIVISION:

FROM:

Public School Income Fund	\$124,182,700
Federal Grant Fund	<u>249,647,800</u>
TOTAL	\$373,830,500

DIVISION TOTAL	\$1,700,246,000
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SECTION 3. There is hereby appropriated to the Public Schools Educational Support Program's Idaho Digital Learning Academy \$25,810,000 to be expended from the Public School Income Fund for the period July 1, 2026, through June 30, 2027.

SECTION 4. There is hereby appropriated to the Public Schools Educational Support Program's Division of Facilities \$12,589,700 to be expended from the Public School Income Fund for the period July 1, 2026, through June 30, 2027.

SECTION 5. There is hereby appropriated to the Public Schools Educational Support Program's Division of Central Services \$19,237,600 to be expended for operating expenditures from the Public School Income Fund for the period July 1, 2026, through June 30, 2027.

SECTION 6. There is hereby appropriated to the Public Schools Educational Support Program's Division of Educational Services for the Deaf and the Blind the following amounts to be expended from the listed funds for the period July 1, 2026, through June 30, 2027:

FROM:

Public School Income Fund	\$16,871,500
School for the Deaf and the Blind Endowment Fund	<u>250,100</u>
TOTAL	\$17,121,600

SECTION 7. Of the amounts appropriated in Sections 1 through 6 of this act for the Public Schools Educational Support Program, the following amounts shall be considered expended from the listed funds for the period July 1, 2026, through June 30, 2027:

FROM:

General Fund	\$2,773,295,400
Public Schools Other Income Fund	23,450,000
School for the Deaf and the Blind Endowment Fund	250,100
Cigarette, Tobacco and Lottery Income Taxes Fund	4,324,900
Public School Endowment Income Fund	68,224,800
Federal Grant Fund	<u>260,647,800</u>
TOTAL	\$3,130,193,000

SECTION 8. PROFESSIONAL DEVELOPMENT -- TEACHERS. Of the moneys appropriated in Section 1 of this act, \$13,750,000 from the Public School Income Fund shall be distributed for professional development that supports instructors and pupil service staff to increase student learning, mentoring, and collaboration. Professional development efforts should be measurable, provide the instructors and pupil service staff with a clear understanding of their progress, be incorporated into their performance evaluations, and, to the extent possible, be included in the school district or public charter school continuous improvement plans required by Section 33-320, Idaho Code. Funding shall be distributed by a formula prescribed by the State Department of Education, and the State Department of Education shall track usage and

1 effectiveness of professional development efforts at the state and local
2 levels.

3 SECTION 9. INSTRUCTIONAL AND PUPIL SERVICE STAFF COMPENSATION. In ad-
4 dition to the distribution criteria set forth in Section 33-1004B(9)(f),
5 Idaho Code, an additional \$6,359 shall be allocated to each cell for resi-
6 dential, professional, and advanced professional rungs. These funds must
7 be used for instructional and pupil service compensation. Funding shall
8 be distributed in combination with other career ladder allocations for the
9 period July 1, 2026, through June 30, 2027. School districts and public
10 charter schools shall report to the State Department of Education on the
11 allocation of these funds for instructional and pupil service compensation.
12 The State Department of Education shall provide a report to the Joint Fi-
13 nance-Appropriations Committee by January 5, 2027, on the allocations made
14 by school districts and public charter schools. The format of the report and
15 the contents therein shall be determined by the Legislative Services Office
16 Budget and Policy Analysis Division.

17 SECTION 10. DISCRETIONARY FUNDS. Notwithstanding any law to the con-
18 trary, for the period July 1, 2026, through June 30, 2027, it is estimated
19 that the appropriation of state funds to the Public Schools Educational Sup-
20 port Program's Division of Operations as part of the Student Support Divi-
21 sion will result in total discretionary funds of \$23,472 per support unit
22 that are to be used at the discretion of the school district or public charter
23 school.

24 SECTION 11. HEALTH BENEFIT AND INSURANCE FUNDS. Notwithstanding any
25 law to the contrary, for the period July 1, 2026, through June 30, 2027, it
26 is estimated that the appropriation of state funds to the Public Schools
27 Educational Support Program's Division of Operations as part of the Stu-
28 dent Support Division will result in total health benefits or insurance and
29 health benefits-related funds of \$25,063.50 per support unit to be dis-
30 tributed to schools that are on the state's health insurance plan, and funds
31 of \$24,273.43 per support unit to be distributed for schools that are not on
32 the state's health insurance plan. Before distribution, a school district's
33 or charter school's enrollment in the state's health insurance plan will be
34 verified by the State Department of Education. If a school district's or
35 charter school's enrollment status changes during the fiscal year, the State
36 Department of Education will accordingly adjust the school district's or
37 charter school's distribution amount per support unit. Funds are to be used
38 to offset the costs of health, vision, and dental benefits or insurance of-
39 fered to school employees. If the distribution provided for health, vision,
40 and dental benefits or insurance is in excess of the individual school dis-
41 trict's or charter school's actual costs, the excess funds may then be used
42 at the school district's or charter school's discretion. Further, the State
43 Department of Education shall work with the Legislative Services Office
44 Budget and Policy Analysis Division and the Division of Financial Management
45 to determine the information that the State Department of Education shall
46 collect on school districts' and charter schools' health, vision, and dental
47 benefits or insurance plan information and costs, including but not limited

1 to actual insurance premium costs, premium percentage increases, and health
2 insurance revenues and expenditures from all fund sources.

3 SECTION 12. CLASSROOM TECHNOLOGY. Of the moneys appropriated in Sec-
4 tion 2 of this act, \$36,500,000 from the Public School Income Fund shall be
5 distributed for classroom technology, classroom technology infrastruc-
6 ture, wireless technology infrastructure, and learning management systems
7 that assist teachers and students in effective and efficient instruction or
8 learning. Funding shall be distributed based on a formula prescribed by the
9 State Department of Education. Moneys so distributed shall be used to imple-
10 ment and operate a learning management system of each school district's or
11 public charter school's choice. A learning management system shall include
12 integration with a school district's or public charter school's student
13 information system and shall administer, monitor, and document student and
14 classroom levels of learning. The State Department of Education shall ver-
15 ify that school districts and public charter schools are using funds to pur-
16 chase a learning management system that is compliant with these standards.

17 SECTION 13. EXEMPTIONS FROM PROGRAM TRANSFER LIMITATIONS. For the pe-
18 riod July 1, 2026, through June 30, 2027, the State Department of Education
19 is hereby granted the authority to transfer appropriations among the Teach-
20 ers, Student Support, Facilities, and Idaho Digital Learning Academy divi-
21 sions of the Public Schools Educational Support Program, in any amount nec-
22 essary to comply with the public school funding provisions of appropriations
23 and Idaho Code. Additionally, appropriations may be transferred from the
24 Division of Central Services to the other divisions of the Public Schools Ed-
25 ucational Support Program.

26 SECTION 14. CIGARETTE, TOBACCO, AND LOTTERY DISTRIBUTION. Notwith-
27 standing any provision of law to the contrary, of the moneys appropriated in
28 Section 2 of this act, up to \$4,324,900 from available cigarette, tobacco,
29 and lottery income tax revenue funds accruing, appropriated, or distributed
30 to the Public School Income Fund pursuant to Sections 63-2506, 63-2552A,
31 and 63-3067, Idaho Code, for the period July 1, 2026, through June 30, 2027,
32 shall be distributed to school districts and public charter schools through
33 a combination of a base amount of \$2,000 plus a prorated amount based on the
34 prior year's average daily attendance. Such funds shall be used to develop
35 and implement school safety improvements and/or to facilitate and provide
36 substance abuse prevention programs in the public school system.

37 SECTION 15. COURSEWORK. Of the moneys appropriated in Section 2 of this
38 act, \$4,715,000 shall be distributed for coursework for students failing to
39 achieve proficiency on Idaho's standards-based achievement tests in dollar
40 amounts determined by the State Department of Education. The State Depart-
41 ment of Education shall report to the Joint Finance-Appropriations Commit-
42 tee, the Senate Education Committee, and the House Education Committee by
43 no later than January 5, 2027, on the uses of funds and effectiveness of the
44 coursework and efforts.

1 SECTION 16. OPEN ENROLLMENT INFORMATION. The State Department of Edu-
2 cation shall withhold the November payment for any school district that is
3 not in compliance with the provisions of Section 33-1409, Idaho Code, until
4 such time as the school district becomes compliant.

5 SECTION 17. ENGLISH PROFICIENCY. Pursuant to Section 33-1617, Idaho
6 Code, of the moneys appropriated in Section 2 of this act, \$4,820,000 shall
7 be distributed for support of students in English language learner programs
8 as follows:

9 (1) The State Department of Education shall distribute \$4,370,000 to
10 school districts and public charter schools pro rata based on the population
11 of English language learners under criteria established by the department.

12 (2) The State Department of Education shall distribute \$450,000 for
13 a competitive grant program to assist school districts and public char-
14 ter schools in which English language learners are not reaching statewide
15 accountability interim targets or long-term goals, as defined by federal
16 law. This amount shall be distributed annually in three-year grant cycles,
17 contingent on appropriation and the ability of grantees to meet program ob-
18 jectives.

19 The State Department of Education shall develop the program elements
20 and objectives governing the use of these funds and include a program evalua-
21 tion component.

22 The purpose of these funds is to improve student English language skills
23 to allow for better access to the educational opportunities offered in pub-
24 lic schools. The State Department of Education shall report to the Joint
25 Finance-Appropriations Committee, the Senate Education Committee, and the
26 House Education Committee by no later than January 5, 2027, on the program
27 design, use of funds, and program effectiveness.

28 SECTION 18. ADVANCED OPPORTUNITIES COURSES AND PROGRAM EVALUATION. The
29 State Department of Education shall compile information concerning the num-
30 ber of students enrolling in advanced opportunities courses according to the
31 provisions of Chapter 46, Title 33, Idaho Code, whether coursework is suc-
32 cessfully completed, and total expenditures for fiscal year 2026. As nearly
33 as practicable, the report shall contain information about enrollment of
34 this student population in postsecondary education. A report containing
35 such information shall be posted on the website of the State Department of
36 Education no later than January 5, 2027.

37 SECTION 19. PUBLIC SCHOOL INCOME FUND TRANSFER TO COMMISSION ON HIS-
38 PANIC AFFAIRS. There is hereby appropriated and the Office of the State Con-
39 troller shall transfer in accordance with Section 63-2552A(2), Idaho Code,
40 on July 1, 2026, or as soon thereafter as practicable, \$80,000 from the Pub-
41 lic School Income Fund to the Commission on Hispanic Affairs Miscellaneous
42 Revenue Fund to be used for substance abuse prevention efforts in collabora-
43 tion with the State Department of Education.

44 SECTION 20. PUBLIC SCHOOL INCOME FUND TRANSFER TO THE IDAHO STATE PO-
45 LICE. There is hereby appropriated and the Office of the State Controller
46 shall transfer in accordance with Section 63-2552A(2), Idaho Code, on July

1 1, 2026, or as soon thereafter as practicable, \$200,000 from the Public
2 School Income Fund to the Idaho State Police Miscellaneous Revenue Fund for
3 the purpose of increasing toxicology lab capacity in forensic services.

4 SECTION 21. DIGITAL CONTENT AND CURRICULA. Of the funds appropriated in
5 Section 2 of this act, \$1,600,000 shall be distributed by the State Depart-
6 ment of Education to school districts and public charter schools to purchase
7 digital content and curricula of their choice. Funding will be distributed
8 pursuant to Section 33-4804(2), Idaho Code.

9 SECTION 22. IDAHO DIGITAL LEARNING ACADEMY. The Idaho Digital Learning
10 Academy (IDLA), created pursuant to Chapter 55, Title 33, Idaho Code, shall
11 utilize state-appropriated funds for the period July 1, 2026, through June
12 30, 2027, to achieve the following:

13 (1) Tuition charged by IDLA to Idaho school districts and charter
14 schools shall not exceed \$40.00 per enrollment.

15 (2) Provide remedial coursework for students failing to achieve profi-
16 ciency in one or more areas of Idaho's standards-based tests.

17 (3) Pursuant to State Board of Education rule, IDAPA 08.02.03, provide
18 advanced opportunities, including access to dual credit courses, for stu-
19 dents.

20 The preceding list shall not be construed as excluding other instruc-
21 tion and training that may be provided by the IDLA.

22 SECTION 23. PROGRAM SUPPORT. Of the moneys appropriated in Section
23 5 of this act, up to \$2,459,100 from the Public School Income Fund shall
24 be expended for the support of literacy programs, intervention services
25 for non-Title I schools that fail to achieve proficiency on Idaho's stan-
26 dards-based achievement tests, math initiative programs and regional math
27 labs, and evaluation of the programs for students with non-English or lim-
28 ited-English proficiency. The State Department of Education shall report to
29 the Joint Finance-Appropriations Committee, the Senate Education Commit-
30 tee, and the House Education Committee by no later than January 5, 2027, on
31 the uses of funds and effectiveness of the programs and efforts.

32 SECTION 24. STUDENT ASSESSMENTS. Of the moneys appropriated in Section
33 5 of this act, the State Department of Education may expend up to \$2,258,500
34 for the development or administration of student assessments, including a
35 college entrance exam for grade 11 students, an exam for grade 10 students
36 that provides preparation for the college entrance exam, and end-of-course
37 exams for high school science subjects.

38 SECTION 25. PROFESSIONAL DEVELOPMENT -- CENTRAL SERVICES. Of the mon-
39 eys appropriated in Section 5 of this act, the State Department of Education
40 may expend up to \$4,500,000 for professional development and teacher train-
41 ing and to track usage and effectiveness of professional development efforts
42 at the state and local levels.

43 SECTION 26. CONTENT AND CURRICULUM. Of the moneys appropriated in
44 Section 5 of this act, \$1,200,000 shall be expended for the purchase of

1 content and curriculum for adaptive math instruction, and \$2,250,000 shall
 2 be expended for research-based programs to assist with the instruction of
 3 students with non-English or limited-English proficiency and for learning
 4 loss.

5 SECTION 27. CONTENT AND CURRICULUM -- TECHNOLOGY. Of the moneys appro-
 6 priated in Section 5 of this act, an amount not to exceed \$1,570,000 from the
 7 Public School Income Fund may be expended by the State Department of Edu-
 8 cation to contract for services that provide technology education opportu-
 9 nities and/or information technology certifications to students, including
 10 faculty that prepare students for college, career, or the workplace. Fund-
 11 ing shall be awarded for projects that include three or more of the following
 12 components:

- 13 (1) Certification of skills and competencies;
- 14 (2) Professional development for teachers;
- 15 (3) Integration with curriculum standards;
- 16 (4) Online access to research-based content and curriculum; or
- 17 (5) Instructional software for classroom use.

18 The State Department of Education shall provide a report to the Joint
 19 Finance-Appropriations Committee, the Senate Education Committee, and the
 20 House Education Committee by no later than January 5, 2027, regarding the
 21 number and type of certificates earned by students and faculty.

22 SECTION 28. STATEWIDE TRAINING FOR EARLY LITERACY. Of the moneys appro-
 23 priated in Section 5 of this act, \$5,000,000 shall be expended for intensive
 24 professional development and coaching supports that leverage literacy ex-
 25 perts who are approved by the State Department of Education and trained in
 26 the science of reading in conformance with Section 33-1807(7), Idaho Code.
 27 The State Department of Education shall provide all kindergarten through
 28 grade 3 teachers this professional development on a three-year cycle, while
 29 extending the training to other support staff as time and resources allow.
 30 Additionally, the State Department of Education shall prioritize these
 31 professional development services to teachers in underperforming schools
 32 as calculated in the bottom 25 percent based on the most recent spring Idaho
 33 Reading Indicators scores. Support for low-performing schools may include
 34 pay for success models provided under Section 33-125B, Idaho Code, for
 35 turnaround school service providers. No later than January 5, 2027, the
 36 State Department of Education shall report to the Legislative Services Of-
 37 fice Budget and Policy Analysis Division on the distribution, expenditure,
 38 and results of these funds. The format and content of the report shall be
 39 determined in consultation with the State Department of Education and the
 40 Legislative Services Office Budget and Policy Analysis Division.

41 SECTION 29. YEAR-END RECONCILIATION. If the moneys appropriated and
 42 transferred to the Public School Income Fund and the moneys appropriated
 43 from the General Fund in Section 5 of this act exceed the actual expenditures
 44 for the specified purposes, the difference shall be included in the year-end
 45 reconciliation used to calculate funding available to meet the requirements
 46 of Section 33-1018, Idaho Code, notwithstanding any other provision of law
 47 to the contrary. If the funding amounts specified in Section 24 of this act

1 are insufficient to meet the actual expenditures, the difference shall be
2 included in the year-end reconciliation used to calculate funding available
3 to meet the requirements of Section 33-1018, Idaho Code, notwithstanding any
4 other provision of law to the contrary.

5 SECTION 30. DEFINITIONS. (1) As used in Sections 8, 9, 12, and 21 of this
6 act, "distributed" means moneys that are transferred to school districts and
7 public charter schools, with no funds withheld for any other contract or ad-
8 ministrative costs.

9 (2) As used in Sections 14, 15, and 17 of this act, "distributed" means
10 moneys that are transferred to school districts, public charter schools, and
11 the Idaho Digital Learning Academy, with no funds withheld for any other con-
12 tract or administrative costs.

13 (3) As used in Sections 23, 26, 27, and 28 of this act, "expended" means
14 moneys that pay for the cost of contracts that provide services to school
15 districts, public charter schools, or students or that pay for the State
16 Department of Education's cost of administering the programs for which the
17 moneys are allocated.

18 SECTION 31. ACQUISITIONS. Consistent with the provisions of Chapter
19 92, Title 67, Idaho Code, and funding provided in Section 5 of this act, the
20 State Department of Education is required to engage in open, competitive
21 acquisition processes. The State Department of Education shall provide a
22 report to the Joint Finance-Appropriations Committee by no later than De-
23 cember 1, 2026, on all contracts signed during fiscal year 2026 for property
24 valued at more than \$25,000. The report shall include for each contract: (a)
25 the amount; (b) the duration; (c) the parties; (d) the subject; (e) whether
26 the contract was awarded as a result of an open, competitive acquisition
27 process or as a sole source or other noncompetitive procurement pursuant
28 to Section 67-9221, Idaho Code; and (f) the rationale for signing any sole
29 source or other noncompetitive procurements.

30 SECTION 32. There is hereby appropriated and the Office of the State
31 Controller shall transfer \$2,773,295,400 from the General Fund to the Public
32 School Income Fund on July 1, 2026, or as soon thereafter as practicable for
33 the period July 1, 2026, through June 30, 2027.

34 SECTION 33. CONDITIONS, LIMITATIONS, AND RESTRICTIONS. Appropriations
35 made pursuant to this act are subject to the conditions, limitations, and re-
36 strictions specified in this act.

37 SECTION 34. An emergency existing therefor, which emergency is hereby
38 declared to exist, this act shall be in full force and effect on and after
39 July 1, 2026.